

* Here's how I got the 30%: If in 2009 you're single and earn between \$33,950 and \$82,250 per year, or are married and together earn between \$67,900 and \$137,050, your federal tax rate is 25%. Depending on where you live, your state and local taxes might be about 5%; 25% plus 5% is 30%. One thing to keep in mind: If you itemize your tax deductions, you get to deduct the state taxes you pay. This will have the effect of reducing your rate somewhat. (See Chapter 9 for details.)